

State Agency Promising Practice

TOPIC:
Funding and
Service Contracting

Tennessee: Using Funding to Improve Integrated Employment Services

By Jean Winsor and Racheal I Inegbedion

Project Background

The Impact of State Intellectual and Developmental Disabilities Agency Employment Contracting Methods and Service Payment Rates on Employment for Individuals with Intellectual and Developmental Disabilities (IDD) is a project of the Institute for Community Inclusion at the University of Massachusetts Boston. The goal of this project is to explore how state IDD agencies' contracting and payment methods supported the use of innovative employment services, access to assistive technology, or improvements in the employment services workforce to ensure access to high-quality employment services. To explore this topic, we have selected eight states whose IDD agency and/or Medicaid Authority developed and implemented financing strategies that reflect the factors of interest.

Staff from the Tennessee Department of Intellectual and Developmental Disabilities provided information for this summary. Tennessee prioritized technology, training and certification, and the use of quality incentives for employment services.

Introduction

Tennessee has taken steps to prioritize employment for individuals with intellectual and developmental disabilities (IDD). The state's Home and Community Based Waivers for individuals with IDD have strategically shifted from a fee-for-service payment method to an outcome-based payment structure to improve employment outcomes. This was an important first step for Tennessee. The agency learned they could use strategic financing strategies to support technological innovation and stabilize the direct support professional (DSP) workforce of employment specialists who provide employment services and support.

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State Initiatives and Strategic Implementation

Strategic Funding Distribution and Financing

Tennessee recognized that if people with IDD are to have high-quality employment outcomes, they need access to DSPs with the necessary experience and training to provide these services. So, Tennessee strategically used American Rescue Plan (ARPA) funds to retain DSPs. In response to the COVID-19 public health emergency's impact on the DSP workforce, Tennessee created temporary bonus payments and the establishment of a quality incentive pool to retain and attract new talent. Their goals were to address the challenge of DSP retention and the availability of experienced and skilled DSPs to provide high-quality integrated employment services.

Training and Certification Enhancements

The introduction of training and certification for technology-based services underscores Tennessee's commitment to quality and efficiency. The state IDD agency has added training for technology-based services and partnered with experts in technology to develop a certification process for DSPs. The certification process, which includes 11 modules, is not mandatory, but is incentivized with payment for completion. The goal of the training is to enhance individual DSPs' and administrators of community rehabilitation providers' understanding of technology and its cultural implications. The certification is tied to the individual DSP and is portable; this has increased the value of those certified DSPs, providing access to better wages. By ensuring that DSPs are well-



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versed in the latest technological tools, the state enhances the quality of support for individuals with IDD while elevating the professional value of DSPs. This initiative reflects a sophisticated understanding of the interplay between technology, service quality, and workforce development.

Leveraging Technology for Independence

For several years now, Tennessee's investment in research and development has paved the way for the adoption of technology-driven support services. The Enabling Technology (ET) Program solidifies the state's commitment to technological innovation to enhance the independence and autonomy of individuals with IDD. Such technological interventions not only improve service delivery but also embody Tennessee's vision for next-generation disability support services. State staff noted that fewer than 5% of users choose 2-way video support technology; most prefer immediate response systems, such as sensors and safety technology. The state has found users typically spend less than \$3,000 annually on these services, which is significantly less than the cost of full-time, on-site staff.

Impact

Early on in Tennessee's efforts to use technology to improve employment outcomes, the state IDD agency established a research division within their department. Initially funded at \$500,000, their successes have led to additional annual approval for \$1 million in reoccurring funding. They have used this funding to develop an innovation team, conduct more research, and incentivize participation in pilot projects.

State agency staff noted that employment professionals who were early adopters of the use of technology and the delivery of services through remote support saw significant benefits, such as reduced staff vacancy rates and increased retention. Tennessee hypothesizes that this is because employment support professionals felt that these were highly valued jobs that offered stable career growth opportunities. Anecdotally, there has been a noted shift in the demographics of individuals applying to become employment professionals, with more individuals seeking to be individual thinkers and facilitators rather than caretakers. Tennessee's swift adaptation of contracting and payment methods in response to the COVID-19 public health emergency further showed their commitment to the workforce and the value they add to the state.

Challenges, Opportunities, and Future Directions

The state IDD agency reports that the positive impacts of technology on people with IDD, including increased community integration and self-determination. The success of the optional technology certification on employment professionals suggests that interest in obtaining the certification will continue to grow. Lastly, the state reports that the reoccurring annual funding for the research division will allow the state to sustain and grow innovative ways to use technology, and future strategies include the introduction of virtual job coaching. Through these investments, the state is developing a culture where the use of technology and policy converge to create sustainable, effective employment supports for individuals with IDD.

Conclusion

Tennessee's multi-faceted approach to enhancing employment outcomes for individuals with IDD demonstrates the state's commitment to innovation and policy sophistication. Through strategic funding, support for technological advancement, and adaptive policy measures, Tennessee is not just addressing immediate challenges but also working toward stability and quality in the IDD system.



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